freedom of action. Unfortunately, employee actions in public sector banks are constrained by government rules and second-guessed by vigilance authorities, even while pay is limited. It will be hard for public sector banks to compete for talent. If, in addition, these banks are asked to make sub-optimal decisions in what is deemed the public interest, their performance will suffer more than in the past. This will make it hard for them to raise funds, especially capital. With the government strapped for funds, its ability to support the capital needs of public sector banks as part of the second grand bargain is also coming into question.

We cannot go backwards to revive the two bargains – that means reversing development and bottling the genie of competition, neither of which would be desirable for the economy even if feasible. Instead, the best approach may be to develop the financial sector by increasing competition and variety, even while giving banks, especially public sector banks, a greater ability to compete. Let me be more specific.

INCREASING COMPETITION IN BANKING

The Reserve Bank of India is committed to freeing entry in banking. We just announced two new commercial bank licences after a rigorous vetting process. We are examining this experience, and after making appropriate changes, will announce a more regular process of giving licences – what has been termed licences on tap.

Because of the public's trust in banks and the presence of universal deposit insurance, we have to be careful in giving out the normal commercial bank licences. To be absolutely confident of the capabilities and integrity of applicants, we give licences only to those who have a proven track record and reasonable capital. But what of those who have no track record or no large capital base but do have capabilities? And what of those who see value in doing only one part of the banking business such as payments?